Philippine Amusement and Gaming Corporation (:)

9M 2026 Earnings — Analyst Brief · Released 29 Oct 2026 · Currency PHP (tables in PHP billions unless stated; ~USD at USD/PHP 64.05)

Not applicable — PAGCOR is an unlisted, 100% state-owned government corporation (chartered under PD 1869, as amended); there is no traded equity, EPS or share-price reaction. Read-across to listed Philippine e-games licensees and integrated-resort operators on 29 Oct 2026 was not verified.

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THE ONE-LINE VERDICT

A 9M-26 print that is bad in level but no longer deteriorating: derived Q3 revenue of PHP 21.09bn (~$329m) was -15.8% YoY against -31.5% in Q2, with electronic-gaming revenue flat at ~PHP 9bn (~$141m) a quarter since the August-2025 e-wallet delinking reset the base. Net income of PHP 2.17bn (~$34m, -84.9%) reflects a structurally higher 5% PSC levy layered on a cost base that grew 3% while revenue fell 23% — the operating deleverage, not the court, is the bigger problem, and the FY26 H2 net-operating-income target now looks unattainable.

9M-26 TOTAL REVENUE	9M-26 ELECTRONIC GAMING REVENUE	9M-26 NET OPERATING INCOME	9M-26 NET INCOME	Q3-26 REVENUE (DERIVED: 9M LESS H1)	9M-26 CONTRIBUTIONS TO NATION-BUILDING
PHP 64.41bn (~$1.01bn)	**PHP 27.63bn (~$431m)**	**PHP 44.55bn (~$696m)**	**PHP 2.17bn (~$34m)**	**PHP 21.09bn (~$329m)**	**PHP 45.28bn (~$707m)**
-23.4% YoY (PHP 84.09bn)	-37.2% YoY (PHP 44.03bn)	c.-31% YoY; margin 69.2% (-790bps) [secondary-sourced]	-84.9% YoY (PHP 14.32bn); net margin 3.4%	-15.8% YoY / -0.6% QoQ	-16.5% YoY (PHP 54.26bn)

1 EXECUTIVE SUMMARY

- **Headline — revenue down by a quarter, in line with PAGCOR's own reset.** 9M-26 total revenue PHP 64.41bn (~$1.01bn), -23.41% YoY from PHP 84.09bn (~$1.31bn); gaming-operations revenue PHP 58.13bn (~$908m), -23.44%. There is no sell-side consensus (PAGCOR is an unlisted, 100% state-owned GOCC chartered under PD 1869; FYE 31 Dec), so the relevant yardstick is PAGCOR's midyear FY26 revenue target of PHP 86.94bn (~$1.36bn): 9M is 74% of it.
- **Net income collapsed 85%** to PHP 2.17bn (~$34m) from PHP 14.32bn (~$224m); net margin 3.4% vs 17.0%. Management attributes the sharper fall to the Supreme Court-mandated 5%-of-gross-income remittance to the Philippine Sports Commission (PSC). Our arithmetic says the PSC step-up explains only ~PHP 1bn (~$16m) of the PHP 12.15bn (~$190m) decline [estimate]; the rest is operating deleverage.
- **Q3 standalone (our derivation, 9M less H1 — not company-reported):** revenue PHP 21.09bn (~$329m), -15.8% YoY and -0.6% QoQ; gaming revenue PHP 19.21bn (~$300m), -14.8%; net income PHP 0.59bn (~$9m), -83.5% YoY but +7% QoQ. The YoY decline has narrowed from -21.2% in Q1 and -31.5% in Q2 — the release does not say this.
- **Electronic gaming is the entire story.** 9M e-games/e-bingo/bingo-grantee revenue PHP 27.63bn (~$431m), -37.23%; but the quarterly run-rate (Q1 PHP 9.21bn / Q2 9.39bn / Q3 9.03bn) has been flat within ±4% all year, i.e. a one-time base reset after the BSP's August-2025 e-wallet delinking order rather than continued erosion. E-gaming's share of PAGCOR gaming revenue fell to 47.5% from 58.0%.
- **Land-based is holding.** Licensed casinos PHP 23.10bn (~$361m), -3.22%; PAGCOR-operated Casino Filipino PHP 7.28bn (~$114m), -8.0%; poker PHP 105.86m (~$1.7m), -4.6%. Licensed casinos are now 39.7% of gaming revenue vs 31.4% a year ago.
- **Regulated-market GGR (PAGCOR's industry release, 6 Nov):** Q3 PHP 83.72bn (~$1.31bn), -11.41% YoY and -5.0% QoQ, moderating from -20.33% in Q2 and -15.87% in Q1; 9M PHP 259.45bn (~$4.05bn), c.-16% [our sum of the three quarterly releases]. Licensed casinos PHP 45.38bn (~$709m, -0.40%) took a record 54.20% share; e-gaming PHP 35.28bn (~$551m, -22.86%); PAGCOR-operated PHP 3.03bn (~$47m, -4.81%).
- **Operating deleverage is the under-reported driver.** Total expenses PHP 19.86bn (~$310m), +3% YoY, against revenue -23%; net operating income PHP 44.55bn (~$696m), c.-31%; NOI margin 69.2% vs 77.1% (-790bps); derived Q3 NOI PHP 12.80bn (~$200m), margin 60.7% [expenses/NOI per Gaming Intelligence, sourced from PAGCOR's financial statements — the 9M press release omits lines the H1 release disclosed].
- **PSC levy is structural and not yet fully in the P&L.** G.R. No. 223845 (Guiao v PAGCOR): the Court ordered 5% of gross income (before franchise tax and the 50% National Government share) from 1993 to date; reconsideration denied, reported final Jan-2026. 9M-26 PSC remittance PHP 3.01bn (~$47m); H1 was PHP 2.01bn, +58.7% YoY. Tengco (Aug-26) put arrears at ~PHP 37bn (~$578m) payable over 10 years with monthly remittances of up to PHP 700m (~$11m) — roughly PHP 8bn (~$125m) a year versus FY25 net income of PHP 17.47bn (~$273m).
- **Contributions to nation-building** PHP 45.28bn (~$707m), -16.5% from PHP 54.26bn: National Treasury 50% share PHP 27.61bn (~$431m, -23.4%), socio-civic projects PHP 11.19bn (~$175m), PSC PHP 3.01bn, franchise tax PHP 2.90bn (~$45m, -23.5%), Casino Filipino host cities PHP 511.95m (~$8m), athlete incentives PHP 28.22m, corporate income tax PHP 15.85m (-97% from PHP 609.87m).
- **Guidance bridge — FY26 target PHP 86.94bn (~$1.36bn), -18% vs FY25 PHP 106.03bn (~$1.66bn),** set at the midyear planning conference: H2 revenue PHP 43.62bn, H2 gaming PHP 40.76bn, H2 NOI PHP 31.28bn. After Q3, Q4 must deliver revenue PHP 22.53bn (~$352m; +6.8% QoQ, +2.7% vs Q4-25's PHP 21.94bn), gaming PHP 21.55bn (+12% QoQ) and NOI PHP 18.48bn (~$289m; +44% QoQ). Revenue is reachable only with a strong seasonal Q4; the NOI target is not credible at current cost run-rates.
- **The one line running ahead of plan is net income:** the FY26 net-income projection of PHP 1.66bn (~$26m, -91% YoY) cited in secondary coverage of PAGCOR's budget has already been exceeded at 9M (PHP 2.17bn). This is a low bar, not a positive.
- **Macro narrative is convenient but only partly true.** Management blames Middle East tensions/US-Iran conflict, oil and inflation for weak discretionary spending by lower-income e-games bettors; the peso closed at a record-low PHP 64.05/$ on results day after BSP's October rate hike and Brent's spike to $117. But the e-gaming base reset dates to the August-2025 delinking, before the oil shock.

- **Regulatory overhang remains binary.** BSP ordered e-wallets/banks to remove in-app gambling links in Aug-2025; PAGCOR told the Senate online transactions fell ~50% within days and its income 40-50% in two weeks. Senate Committee on Games & Amusement (Tulfo) is still weighing ban-vs-regulate bills; PAGCOR is preparing a position paper asking BSP to restore links and plans a December-2026 app to steer players to licensed sites.
- **Portfolio actions are defensive.** PAGCOR is weighing a sale of loss-making Casino Filipino branches, and at the Aug-26 congressional budget hearing pointed to CF asset sales and new streams (shared-services/back-office licensees, PHP 2.5-3bn, ~$39-47m, expected this year) to offset the PSC levy. The 2027 revenue target is PHP 88.34bn (~$1.38bn), +1.6%.
- **Capital position: not disclosed.** The release contains no balance sheet or cash flow; cash, debt and leverage are n/a. As a GOCC there is no EPS, no buyback and no dividend — the statutory remittance stream (PHP 45.28bn at 9M) is the distribution.
- **What management emphasises vs buries.** Emphasised: the e-gaming decline and the court ruling. Buried: Q3's sequential stabilisation, the 3% cost growth, NOI (disclosed at H1, dropped at 9M), the 9M-25 PSC comparative, and the 97% fall in corporate income tax.
- **Comp-lapping sets up optically better Q4 prints.** Q4-25 revenue (PHP 21.94bn, ~$343m) and Q4-25 industry GGR (PHP 86.88bn, ~$1.36bn, derived) were the first full post-delinking quarters; at Q3 run-rates, Q4-26 would be roughly -4% YoY on both measures versus -16% and -11% in Q3.
- **Thesis read-through.** For Entertainment City IR operators the data are benign — licensed GGR flat QoQ and share up 600bps YoY. For e-games licensees the industry base has found a floor around PHP 35-40bn (~$0.55-0.62bn) a quarter but faces a hostile legislative calendar. For the fisc, the National Treasury's take is down PHP 8.45bn (~$132m) YoY and the PSC claim is senior to it.

2 GROUP FINANCIAL SUMMARY

PHP BN (USD AT 64.05)	Q3-26 (DERIVED)	QOQ	YOY	9M-26	9M YOY
REVENUE BY SEGMENT					
Total revenue	**21.09 (~$329m)**	**-0.6%**	**-15.8%**	**64.41 (~$1.01bn)**	**-23.4%**
Gaming operations	19.21 (~$300m)	-1.2%	-14.8%	58.13 (~$908m)	-23.4%
Electronic gaming (e-games, e-bingo, bingo grantees)	9.03 (~$141m)	-3.8%	-24.9%	27.63 (~$431m)	-37.2%
Licensed casinos	~7.7 (~$120m) [est.]	n/a	n/a	23.10 (~$361m)	-3.2%
PAGCOR-operated casinos (Casino Filipino)	n/a	n/a	n/a	7.28 (~$114m)	-8.0%
Poker	n/a	n/a	n/a	0.106 (~$1.7m)	-4.6%
Other related services + other income 9M: other related services 3.04 (-38.6%), other income 3.23 (+0.9%).	1.88 (~$29m)	+6.2%	-25.0%	6.27 (~$98m)	-23.1%
PROFITABILITY					
Total operating expenses 9M figure per Gaming Intelligence (from PAGCOR FS); not in the press release. Q3 derived.	8.29 (~$129m)	n/a	-9.1%	19.86 (~$310m)	+3.0%
Net operating income (revenue less opex)	**12.80 (~$200m)**	**n/a**	**-19.6%**	**44.55 (~$696m)**	**c.-31%**
NOI margin	60.7%	n/a	-290bps	69.2%	-790bps
Net income	**0.59 (~$9m)**	**+7.3%**	**-83.5%**	**2.17 (~$34m)**	**-84.9%**
Net margin	2.8%	+20bps	-1,150bps	3.4%	-1,360bps
GAAP diluted EPS / adjusted EPS	n/a	n/a	n/a	n/a (unlisted GOCC)	n/a
STATUTORY REMITTANCES (CONTRIBUTIONS TO NATION-BUILDING)					
Total contributions to nation-building	**n/a**	**n/a**	**n/a**	**45.28 (~$707m)**	**-16.5%**
National Treasury 50% share	n/a	n/a	n/a	27.61 (~$431m)	-23.4%
Socio-civic projects	n/a	n/a	n/a	11.19 (~$175m)	n/a
Philippine Sports Commission (5% of gross income)	n/a	n/a	n/a	3.01 (~$47m)	n/a (H1: +58.7%)
Franchise tax	n/a	n/a	n/a	2.90 (~$45m)	-23.5%
Corporate income tax	n/a	n/a	n/a	0.016 (~$0.2m)	-97.4%
GROUP KPIS / CAPITAL					
Regulated-market GGR (industry)	83.72 (~$1.31bn)	-5.0%	-11.4%	259.45 (~$4.05bn)	c.-16%
Monthly actives / ARPU	n/a	n/a	n/a	n/a (not disclosed)	n/a
Operating / free cash flow	n/a	n/a	n/a	n/a (not disclosed)	n/a
Cash, net debt, leverage	n/a	n/a	n/a	n/a (no balance sheet in release)	n/a

3 SEGMENT DEEP-DIVE — ELECTRONIC GAMING (E-GAMES, E-BINGO, BINGO GRANTEES)

Down 37% YTD but flat for three quarters — the base has reset, the legislation has not.

NINE-MONTH REVENUE DECLINE

E-gaming licence revenue fell 37.23% to PHP 27.63bn (~$431m) from PHP 44.03bn (~$687m), driving most of the group decline.

- This line accounts for PHP 16.4bn (~$256m) of the PHP 19.68bn (~$307m) group revenue decline.
- Management cited Middle East tensions and inflation squeezing lower-income bettors.
- Fuller explanation: August-2025 BSP order requiring GCash, Maya and banks to strip in-app gambling links.
- PAGCOR told the Senate online transactions halved within days and its income fell 40-50% within two weeks.
- The comparison base contains a July-2025 peak that no longer exists.

QUARTERLY CADENCE

Three quarterly prints inside a ±4% band show a one-off step-down in H2-2025, now a flat lower base.

- Q1 PHP 9.21bn (~$144m), Q2 PHP 9.39bn (~$147m), Q3 derived PHP 9.03bn (~$141m).
- Q3 down 24.9% YoY against PHP 12.03bn (~$188m) and only 3.8% QoQ.
- Share of PAGCOR gaming revenue fell to 47.0% in Q3 from 53.4% a year earlier and 58.0% for 9M-25.
- The step-down happened once; what remains is a flat, lower base rather than a continuing slide.

INDUSTRY GGR

Regulated e-gaming GGR fell 22.86% YoY to PHP 35.28bn (~$551m) in Q3, marginally weaker than PAGCOR's own revenue.

- Down from PHP 45.73bn (~$714m) YoY and 11.5% QoQ from PHP 39.85bn (~$622m).
- Tengco said the PHP 10.45bn (~$163m) decline accounted for the bulk of the industry contraction.
- Share of total GGR slipped to 42.1% from 45.2% in Q2 and 48.4% a year earlier.
- Implied take rate rose to 25.6% from 23.6% in Q2 (26.3% in Q3-25); we read this as timing or mix, not pricing, and would not extrapolate it.
- PAGCOR discloses no actives, ARPU, handle or promotional data for the segment.

LEGISLATION AND OUTLOOK

The forward path is binary and political; the H2 target implies Q4 growth we do not see in the data.

- Senate Committee on Games and Amusement reviews bills from an outright online-gambling ban to tighter regulation; BSP will defer to Congress.
- PAGCOR is preparing a position paper asking the central bank to restore e-wallet links.
- PAGCOR targets a December-2026 app steering players to licensed platforms, arguing delinking pushed volume to illegal sites.
- No segment guidance; H2 gaming-revenue target of PHP 40.76bn (~$636m) implies PHP 21.55bn (~$336m) in Q4 after PHP 19.21bn in Q3.

PHP BN (USD AT 64.05)	Q3-26 (DERIVED)	QOQ	YOY	9M-26	9M YOY
PAGCOR electronic-gaming revenue	**9.03 (~$141m)**	**-3.8%**	**-24.9%**	**27.63 (~$431m)**	**-37.2%**
Q1-26 / Q2-26 / H1-26 revenue [Q1 reported (PAGCOR Insider, Apr-26); Q2 derived as H1 less Q1; H1 reported.]	9.21 / 9.39	n/a	n/a	18.60 (~$290m)	-41.9%
Share of PAGCOR gaming revenue	47.0%	-130bps	-640bps	47.5%	-1,050bps
Industry e-gaming GGR (regulated) [9M is our sum of PAGCOR's quarterly industry releases (Q1 derived as total less casinos).]	**35.28 (~$551m)**	**-11.5%**	**-22.9%**	**115.04 (~$1.80bn)**	**n/a**
E-gaming share of industry GGR	42.1%	-310bps	-630bps	44.3%	n/a
Implied PAGCOR take (revenue / industry GGR)	25.6%	+200bps	-70bps	24.0%	n/a
Actives / ARPU / handle / promo % handle	n/a	n/a	n/a	n/a (not disclosed)	n/a

4 SEGMENT DEEP-DIVE — LICENSED CASINOS (INTEGRATED RESORTS & OTHER LICENSEES)

The anchor: licensed-casino GGR flat QoQ, -0.4% YoY, share up to a record 54.2% of the regulated market.

LICENCE-FEE REVENUE

Licensed-casino licence-fee revenue fell 3.22% to PHP 23.10bn (~$361m) from PHP 23.87bn (~$373m) over nine months.

- Now the second-largest contributor; share rose to 39.7% from 31.4% simply because e-gaming shrank around it.
- Q1 reported at PHP 7.62bn (~$119m), leaving PHP 15.48bn (~$242m) for Q2 and Q3, roughly PHP 7.7bn (~$120m) a quarter.
- Consistent with a stable implied take of ~17% on licensed-casino GGR.
- PAGCOR does not disclose Q2/Q3 segment figures; we treat the Q3 number as an estimate.

INDUSTRY GGR

Licensed-casino GGR of PHP 45.38bn (~$709m) in Q3 was down just 0.40% YoY and flat QoQ, with share at a record 54.20%.

- Down from PHP 45.56bn (~$711m) YoY; flat on Q2's PHP 45.37bn (~$708m); nine months sum to PHP 135.27bn (~$2.11bn).
- Share climbed from 50.83% in Q1 to 51.49% in Q2 and 54.20% in Q3, 600bps above Q3-25.
- Tengco highlighted this as evidence that the land-based base is holding; we agree.
- With the peso at record lows and Brent touching $117, flat integrated-resort GGR is respectable and shows no sign of structural impairment.

FY25 CONTEXT

The 9M-26 decline of 3.22% is a modest improvement on FY25's 4.93% fall to PHP 31.44bn (~$491m).

- FY25 industry licensed GGR was PHP 182.50bn (~$2.85bn).
- No breakdown by VIP versus mass, property, Entertainment City versus provincial, or visitation or hold data.
- We cannot say whether resilience is volume or luck; sequential stability across three quarters argues for volume.

OUTLOOK AND NEW LICENSEES

If licensed GGR holds at ~PHP 45bn a quarter, FY26 revenue lands around PHP 30.8bn (~$481m), roughly 2% below FY25.

- No segment guidance; this is the bull case for the whole P&L, since every other line is falling or exposed to legislation.
- Management cited fee income from new licensee categories, including shared-services/back-office operators, worth PHP 2.5-3bn (~$39-47m) in 2026.
- An MGM Resorts facility employing over 2,000 Filipinos was cited.
- This would be reported outside gaming operations and does not change the licensed-casino arithmetic.

PHP BN (USD AT 64.05)	Q3-26 (DERIVED)	QOQ	YOY	9M-26	9M YOY
PAGCOR licensed-casino revenue Q1-26 reported at 7.62; Q2+Q3 combined 15.48 by subtraction; quarterly split not disclosed.	**~7.7 (~$120m) [est.]**	**n/a**	**n/a**	**23.10 (~$361m)**	**-3.2%**
Share of PAGCOR gaming revenue	n/a	n/a	n/a	39.7%	+830bps
Industry licensed-casino GGR	**45.38 (~$709m)**	**+0.0%**	**-0.4%**	**135.27 (~$2.11bn)**	**n/a**
Share of industry GGR	54.2%	+270bps	+600bps	52.1%	n/a
Implied PAGCOR take (revenue / GGR)	n/a	n/a	n/a	17.1%	n/a
FY25 reference: revenue / industry GGR	—	—	—	31.44 (~$491m) / 182.50 (~$2.85bn)	-4.9% / n/a
VIP vs mass, visitation, hold	n/a	n/a	n/a	n/a (not disclosed)	n/a

5 SEGMENT DEEP-DIVE — PAGCOR-OPERATED CASINO FILIPINO & POKER

Casino Filipino -8%, poker -5%, and the branch network is up for sale — a sub-scale operator inside a regulator.

CASINO FILIPINO REVENUE

Casino Filipino revenue fell 8.0% to PHP 7.28bn (~$114m) and poker fell 4.60% to PHP 105.86m (~$1.7m).

- Q1 PHP 2.64bn (~$41m), Q2 and Q3 combined PHP 4.64bn (~$72m); prior-year nine months PHP 7.91bn (~$123m).
- Poker, the smallest line, compares with PHP 110.97m (~$1.7m) a year earlier.
- Milder than FY25's 18.12% fall to PHP 10.38bn (~$162m), but a low bar; H1 revenue was down 8.67%.
- A government-run casino chain losing share to privately operated integrated resorts.

INDUSTRY GGR

PAGCOR-operated casinos produced PHP 3.03bn (~$47m) of Q3 GGR, down 4.81% YoY but up 4.5% QoQ.

- Down from PHP 3.18bn (~$50m) YoY; up from PHP 2.90bn (~$45m) QoQ; share 3.6% versus 3.30% in Q2 and 3.16% for FY25.
- 9M GGR of PHP 9.10bn (~$142m) against CF revenue of PHP 7.28bn implies ~80% of branch GGR recognised as segment revenue.
- PAGCOR does not reconcile the two series and has reclassified segment definitions between releases (poker previously grouped with electronic gaming), so YoY comparisons carry restatement risk.

POSSIBLE BRANCH SALE

Trade press reports PAGCOR weighing a sale of the Casino Filipino network as losses mount; economics are undisclosed.

- At the August budget hearing management cited CF property sales alongside new revenue streams as the offset to the PSC levy.
- The 9M release is silent on this, on branch-level profitability, headcount, or the PHP 511.95m (~$8m) paid to host cities.
- A disposal would be a one-off gain and a permanent removal of ~7% of gaming revenue; likely NOI-accretive given branch operating costs.

OUTLOOK

No guidance; our base case is continued mid-to-high-single-digit YoY decline.

- Q4 is seasonally the strongest quarter for the branches.
- The 'Big Time Bingo Milyonaryo' finale on 6 December (PHP 13m, ~$0.2m, prize pool) is marketing, not a swing factor.
- Watch whether a sale process is formally launched and how proceeds are treated under statutory remittance formulae.

PHP BN (USD AT 64.05)	Q3-26 (DERIVED)	QOQ	YOY	9M-26	9M YOY
Casino Filipino revenue (PAGCOR-operated) Q1-26 reported 2.64; Q2+Q3 combined 4.64 by subtraction; H1 YoY -8.67%.	**n/a**	**n/a**	**n/a**	**7.28 (~$114m)**	**-8.0%**
Poker revenue	n/a	n/a	n/a	0.106 (~$1.7m)	-4.6%
Industry PAGCOR-operated casino GGR	**3.03 (~$47m)**	**+4.5%**	**-4.8%**	**9.10 (~$142m)**	**n/a**
Share of industry GGR	3.6%	+30bps	+20bps	3.5%	n/a
Host-city contributions (9M)	n/a	n/a	n/a	0.512 (~$8m)	n/a
FY25 reference: CF revenue	—	—	—	10.38 (~$162m)	-18.1%
Branch count, visitation, branch P&L	n/a	n/a	n/a	n/a (not disclosed)	n/a

6 SEGMENT DEEP-DIVE — NON-GAMING REVENUE, COST BASE & STATUTORY REMITTANCES

Costs +3% on revenue -23%; the PSC claim is now senior, structural and about to get larger.

NON-GAMING REVENUE

Combined non-gaming revenue of PHP 6.27bn (~$98m) fell 23.1%, led by a 38.59% drop in other related services.

- Other related services PHP 3.04bn (~$47m) versus PHP 4.95bn (~$77m); other income (interest, fees) PHP 3.23bn (~$50m), flat on PHP 3.20bn.
- Derived Q3 figure of PHP 1.88bn (~$29m) was -25.0% YoY.
- No explanation given; likeliest reading is service fees scale with licensee activity in e-gaming.
- Corporate income tax fell 97% to PHP 15.85m (~$0.2m), corroborating a sharp drop in taxable non-gaming earnings.

COST BASE AND NOI

Total expenses rose 3% to PHP 19.86bn (~$310m) while NOI fell c.31% to PHP 44.55bn (~$696m), a 69.2% margin versus 77.1%.

- Per Gaming Intelligence citing PAGCOR's financial statements; by subtraction Q3 opex PHP 8.29bn (~$129m), Q3 NOI PHP 12.80bn (~$200m) at 60.7% versus 63.6% in Q3-25.
- PAGCOR disclosed NOI in H1 (PHP 31.75bn, -35.05%) but dropped the line at 9M.
- A cost base growing while revenue falls by a quarter is the primary driver of the profit collapse.
- NOI fell PHP 20.26bn (~$316m), National Treasury share fell PHP 8.45bn (~$132m); residual gap to the PHP 12.15bn net-income decline is only partly the PSC.

PSC OBLIGATION

The Supreme Court ruled the PSC's 5% of gross income unqualified; the levy is senior, structural and about to get larger.

- Section 26 of RA 6847 grants 5%; a 1993 executive order cut the effective rate to ~2.17%.
- G.R. No. 223845, Guiao v PAGCOR, decided 22 Aug 2024, ordered accounting and remittance from 1993; reconsideration rejected, ruling reported final January 2026.
- 9M-26 remittance PHP 3.01bn (~$47m); H1 PHP 2.01bn versus PHP 1.26bn, +58.7%.
- Tengco said arrears of ~PHP 37bn (~$578m) are payable over 10 years and monthly remittances could reach PHP 700m (~$11m).
- Our arithmetic: 5% on ~PHP 88bn of 2027 revenue plus ~PHP 3.7bn arrears is ~PHP 8bn (~$125m) a year, larger than remaining net income.

NATION-BUILDING CONTRIBUTIONS

Total contributions fell 16.5% to PHP 45.28bn (~$707m) from PHP 54.26bn (~$847m).

- National Treasury PHP 27.61bn (~$431m, -23.4%); socio-civic PHP 11.19bn (~$175m); PSC PHP 3.01bn; franchise tax PHP 2.90bn (~$45m, -23.5%).
- Host cities PHP 511.95m; athlete incentives PHP 28.22m; corporate income tax PHP 15.85m.
- The 50% share and franchise tax are formula-driven and fall with revenue; socio-civic and PSC are not, so net income absorbs a disproportionate share of declines.

BALANCE SHEET AND GUIDANCE

No balance sheet or cash-flow disclosure; the H2 NOI target requires a 44% sequential Q4 increase the cost trajectory does not support.

- No debt or cash disclosure in the release; leverage is n/a.
- H2 NOI target PHP 31.28bn (~$488m) after Q3's PHP 12.80bn requires PHP 18.48bn (~$289m) in Q4.

PHP BN (USD AT 64.05)	Q3-26 (DERIVED)	QOQ	YOY	9M-26	9M YOY
Other related services	n/a	n/a	n/a	3.04 (~$47m)	-38.6%
Other income (interest, fees)	n/a	n/a	n/a	3.23 (~$50m)	+0.9%
Total non-gaming revenue	**1.88 (~$29m)**	**+6.2%**	**-25.0%**	**6.27 (~$98m)**	**-23.1%**
Total operating expenses [Secondary-sourced (Gaming Intelligence, from PAGCOR FS).]	8.29 (~$129m)	n/a	-9.1%	19.86 (~$310m)	+3.0%
Net operating income / margin	**12.80 (~$200m) / 60.7%**	**n/a**	**-19.6% / -290bps**	**44.55 (~$696m) / 69.2%**	**c.-31% / -790bps**
H1-26 NOI (reported)	—	—	—	31.75 (~$496m)	-35.1%
Contributions to nation-building	**n/a**	**n/a**	**n/a**	**45.28 (~$707m)**	**-16.5%**
National Treasury 50% share	n/a	n/a	n/a	27.61 (~$431m)	-23.4%
Socio-civic projects	n/a	n/a	n/a	11.19 (~$175m)	n/a
PSC remittance (5% gross income)	n/a	n/a	n/a	3.01 (~$47m)	n/a (H1 +58.7%)
Franchise tax	n/a	n/a	n/a	2.90 (~$45m)	-23.5%
Corporate income tax	n/a	n/a	n/a	0.016 (~$0.2m)	-97.4%
Net income	**0.59 (~$9m)**	**+7.3%**	**-83.5%**	**2.17 (~$34m)**	**-84.9%**
PSC arrears (per Tengco, Aug-26)	—	—	—	~37 (~$578m) over 10 yrs	n/a

7 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Licensed-casino GGR flat QoQ at PHP 45.38bn (~$709m), -0.4% YoY, with share of regulated GGR up 600bps YoY to a record 54.2% — the integrated-resort base is intact despite a record-low peso and an oil shock. structural
- E-gaming revenue has stopped falling sequentially: PAGCOR's quarterly e-gaming take of PHP 9.21bn / 9.39bn / 9.03bn (~$144m / $147m / $141m) is flat within ±4% across 2026; the August-2025 delinking was a one-time base reset. early
- Rate of decline is narrowing: derived Q3 group revenue -15.8% YoY vs -31.5% in Q2 and -21.2% in Q1; industry GGR -11.4% vs -20.3% in Q2. Q4 laps the first full post-delinking quarter (Q4-25 revenue PHP 21.94bn, ~$343m), implying roughly -4% YoY at current run-rates. mixed
- Other income held at PHP 3.23bn (~$50m, +0.9%), and derived Q3 net income rose 7% QoQ to PHP 0.59bn (~$9m); the FY26 net-income projection of PHP 1.66bn (~$26m) cited in budget coverage was already exceeded at 9M. one-off
- Implied PAGCOR take on industry e-gaming GGR rose to 25.6% in Q3 from 23.6% in Q2, cushioning PAGCOR's revenue (-3.8% QoQ) against an 11.5% QoQ drop in industry e-gaming GGR — likely timing/mix, but it helped the print. mixed
- Management is pursuing offsets with real numbers attached: shared-services/back-office licensees worth PHP 2.5-3bn (~$39-47m) in 2026, a Casino Filipino disposal, and a 2027 revenue target of PHP 88.34bn (~$1.38bn), +1.6%. early

▼ LOWLIGHTS

- The PSC levy is senior, structural and growing: 5% of gross income before franchise tax and the 50% government share, ~PHP 37bn (~$578m) of arrears over 10 years, monthly remittances of up to PHP 700m (~$11m) — roughly PHP 8bn (~$125m) a year from 2027 against FY25 net income of PHP 17.47bn (~$273m). Only PHP 3.01bn (~$47m) is in the 9M P&L. structural
- Operating deleverage: expenses +3% to PHP 19.86bn (~$310m) on revenue -23%; NOI margin -790bps to 69.2% and a derived 60.7% in Q3. The cost base, not the court, explains most of the PHP 12.15bn (~$190m) net-income decline. structural
- E-gaming revenue -37.2% to PHP 27.63bn (~$431m) and industry e-gaming GGR -22.9% in Q3; the Senate's ban-versus-regulate review is unresolved, BSP defers to Congress, and PAGCOR's position paper to restore e-wallet links has no timetable. structural
- The H2 NOI target of PHP 31.28bn (~$488m) requires PHP 18.48bn (~$289m) in Q4 (+44% QoQ) and the H2 gaming target requires PHP 21.55bn (~$336m) in Q4 (+12% QoQ); neither is consistent with Q3 run-rates. Expect the midyear plan to be missed on profit even if revenue scrapes through. watch
- Disclosure is thinning as results worsen: the 9M release omits NOI and expenses (disclosed at H1), Q3 standalone, the 9M-25 PSC comparative, any balance sheet or cash-flow data, and all operating KPIs (actives, ARPU, handle, hold). governance
- Casino Filipino revenue -8.0% to PHP 7.28bn (~$114m), reportedly loss-making, with a sale under consideration but no process, valuation or timeline disclosed; host-city payments of PHP 512m (~$8m) continue regardless. mixed
- Other related services fell 38.6% to PHP 3.04bn (~$47m) with no explanation, and corporate income tax fell 97% to PHP 15.85m — a tell that non-gaming earnings have deteriorated more than the headline suggests. watch

8 FORECAST & OUTLOOK

Guidance bridge. PAGCOR's only formal outlook is the FY26 plan set at its midyear planning conference: total revenue PHP 86.94bn (~$1.36bn), -18% versus FY25's PHP 106.03bn (~$1.66bn), split H1 actual PHP 43.32bn (~$676m) and H2 target PHP 43.62bn (~$681m); gaming revenue H2 PHP 40.76bn (~$636m); net operating income H2 PHP 31.28bn (~$488m). Nothing was formally changed at 9M, but the arithmetic has: after a derived Q3 of PHP 21.09bn (~$329m) revenue, PHP 19.21bn (~$300m) gaming and PHP 12.80bn (~$200m) NOI, Q4 must deliver PHP 22.53bn (~$352m) revenue (+6.8% QoQ, +2.7% YoY), PHP 21.55bn (~$336m) gaming (+12% QoQ) and PHP 18.48bn (~$289m) NOI (+44% QoQ). The shortfall is entirely the electronic-gaming division, whose H2-25 base management appears to have assumed would partially recover; licensed casinos are tracking plan. Separately, Tengco warned in June that FY26 industry GGR could fall as much as 19% (to ~PHP 321bn, ~$5.0bn); at the Q3 run-rate FY26 GGR lands near PHP 343bn (~$5.36bn), -13%, so that worst case is not materialising.

FY25 ACTUAL REVENUE	FY26 MIDYEAR-PLAN REVENUE TARGET	9M-26 ACTUAL	OUR FY26E REVENUE
PHP 106.03bn (~$1.66bn)	**PHP 86.94bn (~$1.36bn)**	**PHP 64.41bn (~$1.01bn)**	**PHP 85.5–86.5bn (~$1.33–1.35bn)**
base; net income PHP 17.47bn (~$273m)	-18.0% vs FY25; H2 PHP 43.62bn, H2 NOI PHP 31.28bn	74% of target; Q4 needs PHP 22.53bn (~$352m), +6.8% QoQ	-18.5% to -19.5%; slight miss, NOI miss larger

Independent view. Q4-26E revenue PHP 21–22bn (~$328–343m), roughly -4% to flat YoY on seasonal land-based strength and a flat e-gaming base, giving **FY26E revenue of PHP 85.5–86.5bn (~$1.33–1.35bn), -18.5% to -19.5%** — a marginal miss of the PHP 86.94bn target. On profit we are well below plan: a Q4 NOI margin of 62–64% on PHP 21–22bn gives Q4 NOI of ~PHP 13–14bn (~$203–219m) and **FY26E NOI of ~PHP 57.5–58.5bn (~$0.90–0.91bn) versus the implied plan of PHP 63.0bn (~$984m)**; FY26E net income ~PHP 2.6–3.0bn (~$41–47m), -83% to -85%, with contributions to nation-building near PHP 60bn (~$937m). All figures are our estimates built from PAGCOR's reported 9M lines; no company model exists. **Leverage is n/a** — no debt or cash is disclosed and PAGCOR is funded by retained operating cash flow after statutory remittances. The 2027 setup is worse than 2026 on the bottom line even if revenue grows the targeted 1.6% to PHP 88.34bn (~$1.38bn): a 5% levy on gross income (~PHP 4.4bn, ~$69m) plus arrears amortisation (~PHP 3.7bn, ~$58m) is ~PHP 8bn (~$125m) of PSC outflow against a net-income run-rate of ~PHP 3bn, so either the statutory waterfall is reinterpreted, costs are cut materially, or reported net income goes to around zero. Swing factors, in order: a Senate decision on the online-gambling bills (ban would remove ~43% of gaming revenue; regulation with restored e-wallet rails could add 10–20% to the e-gaming base); a Casino Filipino disposal (one-off gain, permanent ~7% revenue loss, NOI-accretive); Q4 integrated-resort seasonality; peso/oil pass-through to mass-market spend.

What to watch next quarter:

- FY26 results (expected late Jan-2027): Q4 revenue vs the PHP 22.53bn (~$352m) implied target and whether NOI/expenses are disclosed again.
- Q4-26 industry GGR release (expected Feb-2027): e-gaming GGR against the PHP 35–40bn (~$0.55–0.62bn) quarterly floor and licensed-casino share above 54%.
- Senate Committee on Games & Amusement: progress of ban-vs-regulate bills; BSP response to PAGCOR's position paper on restoring e-wallet links; launch and uptake of PAGCOR's licensed-platform app (targeted Dec-2026).
- PSC: the arrears accounting and payment schedule (~PHP 37bn over 10 years), whether remittances step up to ~PHP 700m/month in 2027, and any legislative attempt to amend RA 6847 or the PD 1869 waterfall.
- Casino Filipino: formal launch of a sale process, perimeter, proceeds and treatment under statutory remittances; FY26 branch-level losses.
- 2027 corporate operating budget approval (GCG/DBM): revenue PHP 88.34bn (~$1.38bn) and the net-income line after full PSC compliance.
- Macro: USD/PHP (record low PHP 64.05 on results day), Brent, BSP policy rate and the effect on mass-market discretionary spend at IRs and e-games.

DATA CONFIDENCE: MEDIUM FX: USD/PHP 64.05 (BSP reference rate, 29 Oct 2026 — a record low for the peso); USD figures are approximate conversions. Headline 9M-26 figures (revenue, segment revenue, net income, remittances) are verified against PAGCOR's own release and at least four independent reports (Gaming Intelligence, Yogonet, GGRAsia, BusinessWorld, PNA). Q3-26 and Q2-26 standalone figures are our derivations (9M less H1; H1 less Q1) and are not company-reported; the Q3 licensed-casino revenue is an estimate. 9M operating expenses (PHP 19.86bn) and net operating income (PHP 44.55bn) are sourced only from Gaming Intelligence (citing PAGCOR's financial statements) and are not in the press release; 9M-25 NOI is back-solved. The FY26 net-income projection of PHP 1.66bn is secondary-sourced. The 9M-25 PSC remittance, quarterly 2025 industry e-gaming GGR, and any balance-sheet/cash-flow data were not found. The Yogonet URL was not directly accessible; its content was read via the search index and matched the PAGCOR release. Web-tool budget was exhausted before the Casino Filipino sale process and e-games licence-fee schedule could be independently verified; those points rely on AGB/BusinessMirror reporting.

Sources: [Primary] PAGCOR — 'PAGCOR revenues down 23.41% to Php64.41B in first nine months of 2026' (results release, 29 Oct 2026); [Primary] PAGCOR — 'PH gaming revenues down 11.41% in Q3 amid e-games slowdown' (industry GGR release, 6 Nov 2026); [Primary] PAGCOR Insider — 'Revenues down 26.64% in first half of 2026' (H1-26 release, 30 Jul 2026); [Primary] PAGCOR Insider — April 2026 newsletter (Q1-26 revenue PHP 22.11bn; FY25 industry GGR PHP 396.14bn); [Primary] PAGCOR — 'PH gaming industry down 20% in Q2 2026 to Php88.13B' (industry GGR release, Aug 2026); [Primary] PAGCOR Insider — 'Target revenue for 2026 set at Php86.94B' (midyear plan); [Primary] PAGCOR — 'PAGCOR 2025 revenues fall 5% to Php106.03B as land-based earnings soften' (FY25 release, Jan 2026); [Primary] Supreme Court of the Philippines — 'SC Orders PCSO, PAGCOR to Remit Funds to Phil Sports Commission' (22 Aug 2024); [Primary] Supreme Court E-Library — G.R. No. 223845, Guiao v PAGCOR, PCSO and OP (Resolution); [Secondary] Gaming Intelligence — 'PAGCOR posts 23% drop in revenue for 9M 2026' (29 Oct 2026; source for expenses/NOI); [Secondary] Yogonet — 'PAGCOR reports 23.41% revenue decline as gaming earnings weaken' (29 Oct 2026); [Secondary] GGRAsia — 'Pagcor experiences e-gaming drag as revenue falls 23pct in first 9 months of 2026'; [Secondary] BusinessWorld — 'PAGCOR gaming revenues fall 23% as e-games weaken' (29 Oct 2026); [Secondary] Philippine News Agency — 'PAGCOR reports lower revenues in Jan-Sept.'; [Secondary] Asia Gaming Brief — 'Philippine gaming revenue falls 11.4% to PHP83.72 billion in Q3 as e-gaming slides 23%' (7 Nov 2026); [Secondary] SiGMA — 'Philippine Q3 GGR falls 11.41% as e-games weaken' (6 Nov 2026; licensed-casino share by quarter); [Secondary] Philippine Daily Inquirer — 'PH gaming revenues down 16% in Q1 amid oil price shock' (18 May 2026; Q1-26 net income); [Secondary] Daily Tribune — 'PAGCOR revenues down 26.64% in 1H 2026' (H1-25 comparative PHP 59.05bn); [Secondary] Manila Bulletin — 'US-Iran war, lower e-gaming revenue slash Pagcor H1 profit' (H1-25 net income); [Secondary] Asia Gaming Brief / ASGAM — 'PAGCOR net income up 49% to US$244 million in first nine months of 2025'; [Secondary] Philstar — 'PAGCOR profit jumps 49% to P14.3 billion' (9M-25 detail); [Secondary] Manila Times — 'Pagcor 2025 revenues fall as land-based earnings soften' (FY25 segment detail); [Secondary] BusinessMirror — 'Pagcor eyes new revenue streams vs losses' (24 Aug 2026 budget hearing; CF sale, SCBPOs, 2027 target); [Secondary] Daily Tribune — 'PSC may get P700M monthly from PAGCOR' (24 Aug 2026; arrears ~PHP 37bn, 10 years); [Secondary] Daily Tribune — 'Fund sports commission, SC tells PCSO, PAGCOR' (14 Jan 2026; ruling finalised); [Secondary] BusinessWorld — 'PAGCOR gross gaming revenue stalls after e-wallet delinking order' (11 Nov 2025; Q3-25 GGR context); [Secondary] Philippine News Agency — 'PAGCOR reports income drop after e-wallet delinking from gambling' (Sep 2025 Senate hearing); [Secondary] PMPMedia — 'PAGCOR's Net Income Is Set to Fall 91% in 2026' (FY26 net-income projection PHP 1.66bn; secondary only); [Secondary] PesoHub — BSP USD/PHP reference rate, 29 Oct 2026 (PHP 64.05); [Secondary] BusinessWorld — 'Peso sinks to new low, nears 64:$1' (26 Oct 2026; macro backdrop).

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